

COMPLIANCE REPORT

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Report ID	RPT-0002	Date	23 Mar 2026 13:12
Company	Hermina hospital	Industry	Medical
Country	USA	Regulations	HIPAA, HITECH Act, FDA Regulations, CMS Re

RISK LEVEL:
MEDIUM

SCORE: 45 / 100

ACTION: WARNING

Executive Summary

Hermina Hospital's construction project in Arizona is currently at a 'Needs Improvement' status due to critical licensing requirements and evolving federal safety rules. Key risks include the mandatory submission of architectural plans to ADHS and the need for rigorous vetting of third-party contracts to ensure compliance with the Anti-Kickback Statute. Management must address the discrepancy between the project's \$2M value and the high costs typically associated with hospital-grade construction to ensure long-term viability and regulatory approval.

1. Regulation Monitoring Results

Status: CHANGES_FOUND

Recent updates to the Arizona Administrative Code (A.A.C. Title 9, Ch 10) introduce new licensing standards for health care institutions effective 2025. Additionally, OSHA's proposed heat safety rule is highly relevant for construction activities in Arizona's climate, and CMS has updated its interoperability requirements for new facilities.

New / Changed Regulations Found:

- OSHA Proposed Rule: Heat Injury and Illness Prevention in Outdoor and Indoor Work Settings (2024) — source: <https://www.osha.gov/heat-exposure/rulemaking>
- CMS Interoperability and Patient Access Final Rule (CMS-0057-F) — source: <https://www.cms.gov/medicare/health-safety-standards/conditions-coverage-participation/hospitals>

2. Risk Analysis

The construction of a hospital in Arizona involves significant state-level licensing risks and federal safety compliance. The \$2,000,000 valuation is remarkably low for a full-scale hospital, raising concerns about project scope and adherence to complex architectural and medical facility standards.

Risk Factors:

- Low project value (\$2M) for a 'hospital' construction suggests potential under-capitalization or misclassification of the facility type.

- Engagement with government parties and third-party constructors increases scrutiny under the Anti-Kickback Statute and Stark Law.
- High environmental risk for workers due to Arizona heat, requiring compliance with evolving OSHA standards.

Potential Violations:

■ Potential Violation of ARS 36-421 (Unverified Plan Submission) — source: <https://www.azleg.gov/ars/36/00421.htm>

3. Compliance Findings

No	Finding	Level	Regulation / Source
1	Mandatory architectural plan approval by the Director of ADHS is required before construction begins per state law.	CRITICAL	ARS 36-421 https://www.azleg.gov/ars/36/00421.htm
2	Proposed OSHA Heat Rule requires specific hydration, rest, and shade protocols that must be integrated into the constructor's safety plan.	HIGH	OSHA 29 CFR 1926 https://www.osha.gov/heat-exposure/rulemaking
3	Anti-Kickback and Stark Law compliance must be verified for all financial arrangements with 'Governments' and 'Constructors' to avoid referral-related violations.	MEDIUM	Stark Law / Anti-Kickback Statute https://www.cms.gov/medicare/fraud-and-abuse/physiciansselfreferral

4. Recommended Actions

#	Action	Deadline	Responsible Party
1	Submit comprehensive architectural plans to the Arizona Department of Health Services for approval before proceeding further.	immediate	Architectural/Compliance Team
2	Conduct a formal valuation and project scope audit to ensure the \$2M budget aligns with 'Hospital' licensing requirements.	30 days	Finance/Project Management
3	Implement an OSHA-compliant Heat Illness Prevention Plan specifically for the Arizona site.	immediate	Safety Officer

5. Policy Enforcement

WARNING recorded. Process may continue under close monitoring.